Basic Accounting Cheat Sheet

1. Key Accounting Terms

- **Assets:** Resources owned by a business (e.g., cash, inventory, equipment).
- **Liabilities**: Obligations or debts owed to others (e.g., loans, accounts payable).
- **Equity**: Owner's claim on the business (Assets - Liabilities = Equity).
- **Revenue**: Money earned from business activities.
- **Expenses**: Costs incurred to generate revenue.
- **Profit** (Net Income): Revenue - Expenses.
- **Accounts Payable**: Money the business owes to suppliers.
- **Accounts Receivable**: Money owed to the business by customers.
- **Depreciation**: Reduction in asset value over time.
- **Accruals**: Revenues and expenses recognized before cash changes hands.

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2. The Accounting Equation

Assets = Liabilities + Equity

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3. Types of Accounts (Golden Rules of Accounting)

1. **Real Accounts** (Assets): Debit what comes in, Credit what goes out.
2. **Personal Accounts** (Individuals, Firms, Organizations): Debit the receiver, Credit the giver.
3. **Nominal Accounts** (Expenses, Losses, Income, Gains): Debit all expenses/losses, Credit all incomes/gains.

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4. Financial Statements

- **Balance Sheet**: Shows financial position (Assets = Liabilities + Equity).
- **Income Statement (Profit & Loss Statement)**: Summarizes revenues and expenses.
- **Cash Flow Statement**: Tracks cash inflows and outflows.

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5. Accounting Principles

- **Accrual Principle**: Record transactions when they occur, not when cash is received or paid.
- **Matching Principle**: Match expenses with revenues.
- **Consistency Principle**: Use the same accounting methods consistently.
- **Conservatism Principle**: Recognize expenses and liabilities as soon as possible, but revenues only when assured.

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6. Common Journal Entries

Transaction	Debit	Credit
Purchase of inventory on credit	Inventory	Accounts Payable
Sale of goods for cash	Cash	Sales Revenue
Salary paid to employees	Salary Expense	Cash
Depreciation of an asset	Depreciation Expense	Accumulated Depreciation

7. Types of Accounting Methods

- **Cash Accounting**: Records transactions when cash is received or paid.
- **Accrual Accounting**: Records transactions when they are earned or incurred.

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8. Key Accounting Ratios

- **Current Ratio**: Current Assets / Current Liabilities (Measures liquidity).
- **Gross Profit Margin**: (Revenue - Cost of Goods Sold) / Revenue × 100.
- **Net Profit Margin**: Net Income / Revenue × 100.
- **Debt-to-Equity Ratio**: Total Liabilities / Shareholder's Equity.

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9. Common Accounting Software

- QuickBooks
- Tally
- Xero
- Zoho Books